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POLICY NUMBER: FP-FIN-025

ASSET RETIREMENT OBLIGATION

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for Asset Retirement Obligations ("AROs") in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton's corporate or hotel leases may require Hilton to remove alterations made to the leased property upon Hilton's exit of the property (i.e., AROs).¹ This policy serves to provide relevant accounting guidance to determine how AROs should be measured and recognized.

SCOPE

An ARO is generally a legal obligation that results from the acquisition, construction or development, and/or normal operation of a long-lived asset.² The legal obligation can arise as a result of an existing or enacted law, statute, ordinance, or written or oral contract or based on a promise or expectation of performance (i.e., promissory estoppel).³

Hilton primarily incurs ARO costs from its leased assets. The terms of a lease and local laws and regulations are closely reviewed in conjunction with this policy to determine if an ARO exists. ARO's are not exclusive to Hilton's leases and may also arise from Hilton's owned assets due to legal or statutory conditions.

Examples of AROs Hilton typically incurs include, but are not limited to:

- Removal of leasehold improvements upon lease termination
- Demolishing and subsequent removal of an owned asset

APPLICABILITY

This policy applies to all Finance personnel as well as Workplace Services.

EXCLUSIONS/ EXCEPTIONS

This policy does not apply to obligations of a lessee that meet the definition of a lease payment or variable lease payment.⁴ Refer to **FP-FIN-007—Lease Accounting Policy**. Lease dilapidation obligations are a requirement for Hilton to maintain the leased property in the appropriate condition per the lease (e.g., in good, substantial, and tenantable repair and condition). If upon the expiration of the lease and surrender of the leased property back to the lessor it is determined that the lease property is not in the appropriate condition per the lease, then Hilton would be required to either negotiate with the lessor to make a payment for any deficiencies in the quality of the leased property or have works completed to bring the property back to the required condition.

AUTHORIZATIONS

Required Consultations with Technical Accounting ("TA")

TA must be notified if there is a new ARO that is estimated to have a cost in excess of \$2.0 million or a \$2.0 million change in the estimated cost associated with an existing ARO.

INITIAL RECOGNITION AND MEASUREMENT

a. Determining Whether an ARO Exists

An ARO should be accounted for as a liability by Hilton in the period in which it is incurred and when the amount of the ARO is reasonably estimable.⁵ An ARO has been incurred when:

- Hilton has a legal obligation to one or more entities that requires settlement by probable future transfer or use of assets at a specified or determinable date, on occurrence of a specific event, or on demand
- An event occurs that leaves Hilton with little or no discretion to avoid a future transfer or use of assets to settle an obligation (an "obligating event")

¹ ASC 410-20-20, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Glossary
² ASC 410-20-15-2 Asset Retirement and Environmental Obligations, Scope and Scope Exceptions, General, Transactions
³ ASC 410-20-20, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Glossary
⁴ ASC 410-20-15-3e, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Scope and Scope Exceptions, Relationships, Overall
⁵ ASC 410-20-25-4, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Recognition

A legal obligation arises as a result of an existing or enacted law, statute, ordinance, or written or oral contract or based on a promise or expectation of performance (i.e., promissory estoppel).⁶ The determination of whether a legal obligation exists may be clear where there is law involved. For example, a clause within a lease that requires Hilton to remove any leasehold improvements would represent a legal obligation.⁷

If Hilton makes a promise to a third party, careful consideration is needed to determine whether that promise imposes a legal obligation for Hilton. Legal obligations may exist even though no formal action by either party has been taken. In determining if a legal obligation exists, Hilton should not forecast changes in laws or interpretations of those laws but should review any contracts thoroughly for legal obligations and consult with Legal.⁸

Once Hilton has a determination whether it has a legal obligation, it assesses whether an obligating event has occurred. An ARO can only be recognized if such an event has occurred.⁹ Identifying these events can be difficult and requires Hilton to look to the nature of the duty or responsibility that creates the future obligation.¹⁰

An obligating event may arise from following:

- a. *Acquisition*: As part of an acquisition, Hilton acquires a long-lived asset as well as the associated ARO. The acquisition is the obligating event.
- b. *Construction/Development*: If a lease contains an ARO related to leasehold improvements, there is no obligation for Hilton until it has made/installed the leasehold improvements. The construction of the leasehold improvements required to be removed is the obligating event, not the signing of the lease contract.
- c. *New Law/Statute*: A new law is passed which requires Hilton to demolish an existing hotel and restore the site and surrounding area at the end of the lease term. The enactment of the law is the obligating event. Hilton should not forecast or anticipate changes to existing or introduction of new laws in making this determination.¹¹
- d. *Normal Operation*: An environmental remediation liability that results from the normal operation of a long-lived asset (e.g., a fuel tank) and that is associated with the retirement of that asset.¹² The obligating event in these situations is upon contamination as a result of operating (e.g., filling the fuel tank), not construction. Note: this policy does not address accounting for environmental contamination resulting from the improper operating of an asset (e.g., cleaning up a fuel leak).

An ARO liability is reasonably estimable, if one of the following conditions exist:

- a. There is evidence that the fair value of the obligation is included in the acquisition price of the asset.
- b. An active market exists for the transfer of the obligation.
- c. Sufficient information exists to apply an expected present value technique.¹³

For some AROs there is uncertainty in the timing of the future settlement and/or the probability of required performance. These conditional AROs still unconditionally obligate Hilton to perform the retirement activity. Therefore, Hilton is still required record a liability if the fair value of the obligation can be reasonably estimated.¹⁴ In order to do this, Hilton will factor the uncertainty into the fair value determination through assigning probabilities to all potential outcomes.¹⁵ An example of a conditional ARO is an option in a lease allowing the landlord to take ownership of any leasehold improvements at the end of the lease instead of requiring Hilton to remove them, however, if the owner does not take ownership of the assets, Hilton would be responsible for removing the assets. The future uncertainty about whether Hilton will be required to remove the leasehold improvements provides uncertainty about the ARO's future required performance.

b. Valuing ARO's

⁶ ASC 410-20-20, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Glossary*

⁷ ASC 842-10-55-37 *Leases, Overall, Implementation Guidance and Illustrations*

⁸ ASC 410-20-55-1, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations*

⁹ ASC 410-20-55-3, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations*

¹⁰ ASC 410-20-55-4, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations*

¹¹ ASC 410-20-55-1, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations*

¹² ASC 410-20-55-7, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations*

¹³ ASC 410-20-25-6, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Recognition*

¹⁴ ASC 410-20-25-7, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Recognition*

¹⁵ ASC 410-20-25-14, *Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Recognition*

AROs should be valued using a discounted cash flows model, including a credit-adjusted risk-free discount rate.^{16,17} Refer to **FP-FIN-014—Fair Value Accounting Policy** for details of how Hilton determines fair value.

In these situations, Hilton will assign a probability to each outcome based on discussions with the relevant Hilton functions (e.g., Real Estate Asset Management and/or Workplace Services) and calculate the fair value of each scenario. The overall ARO fair value is calculated based on each identified scenario’s probability-weighted fair value.

Once the fair value has been estimated, Hilton will record an ARO liability and capitalize the asset retirement cost by increasing the carrying amount of the related asset by the same amount recognized for the ARO liability.¹⁸ If the ARO is incurred over several reporting periods (e.g., as construction occurs), the incremental liability incurred in a subsequent reporting period is considered another layer of the ARO and is measured separately.¹⁹

The asset retirement cost that was capitalized and included in the cost-basis of the related tangible asset should be depreciated in accordance with **FP-FIN 001—Fixed Asset Accounting Policy** regardless of the projected settlement date of the obligation.²⁰

Illustration 1 – Valuing the ARO

Facts:

On January, 20X0, ABC Company (“ABC”) entered into a new 10-year lease to lease office space commencing on April 1, 20X0 and decided to make certain leasehold improvements to the leased office space beginning on April 1, 20X0. Under the terms of the lease, all leasehold improvements must be removed at the end of the lease term unless the landlord agrees that the improvements do not need to be removed. ABC determined that it would have to pay either \$1,000,000 or \$10,000,000 to uninstall and remove the leasehold improvements, with probabilities of incurring either amount at 80% or 20%, respectively. ABC determined that the appropriate discount rate is 6%.

Analysis:

ABC determined that it has a legal obligation to remove the leasehold improvements at the end of the lease term, unless the landlord unilaterally agrees that the leasehold improvements do not have to be removed, and ABC has little or no discretion to avoid this obligation. As such, the obligating event occurs when ABC begins to make the leasehold improvements on April 1, 20X0.

Also, as ABC determined that it would have to pay either the estimated gross amount of the removal of \$1,000,000 or \$10,000,000 to uninstall and remove the leasehold improvements, with probabilities of incurring either amount at 80% or 20%, respectively, the amount of the obligation is reasonably estimable. Therefore, ABC concluded that it has an ARO liability that needs to be recorded once it begins to make the leasehold improvements on April 1, 20X0.

Based on the two scenarios’ estimated amounts and probabilities of occurring, ABC calculated the probability weighted expected cash outflow in 10 years as follows:

	<u>Estimated Gross Amount</u>	<u>Likelihood of Outcome</u>	<u>Expected Amount</u>
Scenario A	\$1,000,000	80%	\$800,000
Scenario B	\$10,000,000	20%	\$2,000,000
			<u>\$2,800,000</u>

Applying the discount rate of 6% to the \$2.8M of future payments, ABC determined the present value of the cash flows, and, therefore, the ARO liability and associated ARO asset, to be \$1.6M.

Conclusion:

Hilton will record an ARO liability of \$1.6M and increase the associated asset by \$1.6M. The journal entry is as follows:

¹⁶ ASC 410-20-30-1, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Initial Measurement
¹⁷ ASC 410-20-55-14, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Implementation Guide and Illustrations
¹⁸ ASC 410-20-25-5, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Recognition
¹⁹ ASC 410-20-35-1 Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement
²⁰ ASC 410-20-35-2, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

Dr: Property and equipment, net	\$1.6M	
Cr: Other liabilities		\$1.6M

SUBSEQUENT MEASUREMENT

a. Accretion of the Liability

The increase in the liability due to the passage of time (i.e., accretion of the discounted liability) is recorded as accretion expense within 'Other expenses' in the Consolidated Statement of Operations and is calculated based on the discount rate used in the initial fair value calculation.²¹ Below is the basic formula for calculating accretion expense:

$$\text{Accretion Expense} = \text{ARO Liability (beginning of period)} \times \text{Initial Discount Rate}$$

If the liability changes due to fluctuation in the expected cost or a change in the probability of a conditional ARO, the accretion expense is calculated and recorded prior to making additional adjustments to the ARO value.²²

Illustration 2 – Calculating Accretion Expense

Facts:

Assume the same facts in Illustration I, and ABC needs to subsequently remeasure its ARO liability at the end of year 1. ABC determined that there were no changes to the estimated amount or timing of its expected cash outflows related to the ARO.

Analysis:

ABC first calculates the accretion expense as the beginning balance of the ARO liability multiplied by the 6% discount rate used at the time the ARO liability was initially recorded.

$$\text{Accretion Expense} = \$1.6M \times 6\%$$

As ABC determined that there were no changes to the estimated amount or timing of its expected cash outflows related to the ARO, the only adjustment to the ARO liability at the end of year 1 is related to the accretion expense.

Conclusion:

ABC will recognize \$0.1 in accretion expense and the ending ARO liability balance will increase by the same amount. The journal entry is as follows:

DR: Accretion expense	\$0.1M	
CR: Other liabilities		\$0.1M

b. Changes in ARO Estimates or Timing

Annually, Hilton will evaluate its recognized AROs to determine whether there are any indicators suggesting the expected cash flows underlying the ARO liability have materially changed. Any changes resulting from revisions to the probability of occurrence, timing, or the amount of the original estimate of undiscounted cash flows will be recognized as an increase or a decrease in the carrying amount of the liability for the ARO and the carrying amount of the related long-lived asset.²³

- **Upward Revisions in Cash Flows:** An increase in the amount of the estimated cash flows are treated as an additional layer of the ARO liability and an increase in the corresponding fixed asset. The cash flows are discounted using the current period's credit-adjusted risk-free discount rate.²⁴ The new layer of the ARO will be accreted at the new discount rate used to determine its fair value while the original layer of the liability will continue to be accreted at the original discount rate.
- **Downward Revisions in Cash Flows:** A decrease in the amount of the estimated cash flows are discounted using the original discount rate used when the liability was first recognized.²⁵ If Hilton cannot identify which prior period the change in estimate relates to, which might be the case if there have been numerous changes in estimates of future cash flows, Hilton can use the weighted-average rate of the discount rates used for the layers of the ARO as the discount rate.²⁶ The ARO liability and corresponding fixed asset are reduced by the amount of the decrease in the ARO. If the downward

²¹ ASC 410-20-35-5, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

²² ASC 410-20-35-4, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

²³ ASC 410-20-35-8, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

²⁴ ASC 410-20-35-8, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

²⁵ ASC 410-20-35-8, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

²⁶ ASC 410-20-35-8, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Subsequent Measurement

revision would result in the asset balance becoming negative, the excess of the downward revision is recorded as a gain. This situation would primarily occur when the underlying asset has previously been impaired.

- *Changes to Timing or Probability of Settlement:* If the timing or probability of the projected cash flow changes rather than the amount of cash flows, the present value of the liability is calculated using the credit-adjusted risk-free discount rate at the time of the change in estimate.

DERECOGNITION

Settlement of ARO

Settlement of an ARO is not required until the associated asset is retired. However, partial settlement or early settlement of an ARO can occur prior to the retirement of the associated asset.²⁷

When an asset retirement occurs, the costs incurred by Hilton are recorded as a reduction to the ARO. Any difference between the costs incurred to settle the ARO and the current ARO liability are recognized as an increase or decrease to 'Depreciation and amortization expense' in the Consolidated Statement of Operations. If the asset retirement activity spans multiple reporting periods, the impact is recognized on a pro-rata basis based on percentage of completion of costs expected to be incurred.

If the leasehold improvements that gave rise to an ARO are removed and replaced during the lease term, the original ARO is extinguished and a new ARO is measured and recognized.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial recognition of an ARO	-Property and equipment, net (debit) -Other liabilities (credit)	- N/A	- N/A
Recognition of accretion expense	-Other liabilities (credit)	- Other expenses (debit)	- Operating Activities (reconciling item to net income)
Recognition of an increase in the ARO	-Property and equipment, net (debit) -Other liabilities (credit)	- N/A	- N/A
Recognition of a decrease in the ARO	-Property and equipment, net (credit) -Other liabilities (debit)	- N/A	- N/A
Recognition of a change in the ARO resulting in a decrease of the asset balance below zero	-Property and equipment, net (credit) -Other liabilities (debit).	- Depreciation and amortization expense (credit)	- Operating Activities (reconciling item to net income)
Settlement of an ARO	-Other liabilities (debit); -Cash and cash equivalents (credit)	- Other gain (loss), net (credit/debit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

²⁷ ASC-410-20-40-1, Asset Retirement and Environmental Obligations, Asset Retirement Obligations, Derecognition

POLICIES & PROCEDURES

[FP-FIN-001—Fixed Asset Accounting Policy](#)

[FP-FIN-007—Lease Accounting Policy](#)

[FP-FIN-014—Fair Value Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Accretion Expense	An amount recognized as an expense classified as an operating item in the statement of income resulting from the increase in the carrying amount of the liability associated with the asset retirement obligation.
Asset Retirement Cost	The amount capitalized that increases the carrying amount of the long-lived asset when a liability for an asset retirement obligation is recognized.
Asset Retirement Obligation (“ARO”)	An obligation associated with the retirement of a tangible long-lived asset.
Fair Value	The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
Lease	A contract, or a part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.
Legal Obligation	An obligation a party is required to settle as a result of an existing or enacted law, statute, ordinance or written or oral contract or by legal construction of a contract under the doctrine of promissory estoppel.
Promissory Estoppel	The principle that a promise made without consideration may nonetheless be enforced to prevent injustice if the promisor should have reasonably expected the promisee to rely on the promise and if the promisee did actually rely on the promise to their detriment. Said another way, even if a promise is not within a formal contract, a party can still be legally bound to follow through on that promise if another party reasonably relied on the promise and acted to their detriment because of it.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.